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FOUNDERS OF LOYALTY

Accelerating Clubcard Strategic Partnerships Growth

PREPARED FOR

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GROUP CHIEF EXECUTIVE, TESCO 2023-11-15

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Introduction: Our Strategic Par

Proven track record of delivering transformative loyalty solutions for global retailers, driving incremental revenue.

Strategic alignment with Tesco's mission to serve customers, communities, and the planet with commitment.

Long-term partnership ethos, embedded in Tesco's values: 'No one tries harder for customers. Our help makes a big difference.'

Tesco's Strategic Priorities: A CEO Perspective

Drive top-line growth through customer satisfaction and market share expansion (UK market share: 28.3%, +67bps YoY).

Grow absolute profits while maintaining sector-leading margins via digital monetisation and productivity improvements (£510m efficiency savings in 2023).

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Clubcard as Tesco's Strategic A Ahead

Unrivalled customer reach: 23 million Clubcard households in the UK (84% sales penetrat
Proven financial impact: Clubcard Prices deliver up to £392 annual savings per customer
Strategic expansion: 9,000+ retail media campaigns delivered in 2024/25, with Tesco M

Our Value Proposition: Strengthening Clu

****Customer Engagement & Retention**:**

Deepen relationships through hyper-personalised offers, reducing churn and increasing active membership (e.g., 10m customers engaged in AI-powered Clubcard Challenges).

****Personalisation at Scale**:**

Leverage AI and advanced analytics to deliver tailored experiences, driving basket size growth (e.g., volume growth in Finest range via personalised recommendations).

Global Case Study 1: Kroger – Loy Growth at Scale

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS

Global Case Study 2: Carrefour – Data-Driven Value

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS

Global Case Study 3: Walmart – I Revenue & ROI

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS

"CEO Testimonial 1: Doug McM

"CEO Testimonial 2: Rodney Mc

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Our Approach: Aligning with Te

****Data Infrastructure Modernisation****: Cloud-based platform (e.g., Google Cloud) to enable data integration and analytics across Tesco Marketplace, Mobile).

****AI-Driven Personalisation****: Machine learning models to deliver 1:1 offers, with dynamic pricing and recommendations (e.g., personalised offers to customers engaged in AI-powered Clubcard Challenges).

****Omnichannel Loyalty Integration****: Unified customer view across stores, online, and mobile to drive cross-channel engagement and incremental spend.

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Customer Engagement & Retention Clubcard's Impact

****Hyper-Personalised Offers****: AI-driven recommendations to increase redemption rates

****Gamification****: Clubcard Challenges to drive engagement (e.g., 10m customers earned badges)

****Benchmark Outcomes****: Projected 5% increase in active membership and 3% reduction in churn

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Personalisation at Scale: Unlock Value

****Dynamic Pricing****: Real-time adjustments to Clubcard Prices based on demand, inventory, and competitor pricing.

****Predictive Analytics****: Machine learning to forecast customer preferences, increasing targeted marketing effectiveness.

****Supplier Collaboration****: Retail media partnerships to deliver targeted campaigns (e.g., sponsored product placements).

Incremental Revenue & Margin Financial Upside

****Revenue Growth****: £150m–£200m incremental revenue from retail media and personalization

****Margin Protection****: 2–3% margin improvement through dynamic pricing and supply chain optimization

****Cost Savings****: £50m–£70m in operational efficiencies via AI-driven demand forecasting and logistics

Technology & Innovation: Future-Proofing

****Cloud-Based Data Platform****: Google Cloud infrastructure to enable real-time analytics, scalability, and seamless integration with Tesco's digital properties (e.g., Marketplace, Mobile).

****Real-Time Analytics****: AI-driven insights to optimise offers, pricing, and inventory management (e.g., 10m customers engaged in AI-powered Clubcard Challenges).

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Implementation Roadmap: A Ph

****Phase 1 (0–6 Months)**:** Data infrastructure modernisation (cloud migration, real-time

****Phase 2 (6–12 Months)**:** Omnichannel integration (Marketplace, Mobile) and retail m

****Phase 3 (12–24 Months)**:** Full personalisation rollout, dynamic pricing, and supplier p

Risk Mitigation & Governance

****Data Privacy****: GDPR-compliant data governance framework, with encryption and c
Advantage supplier survey for 9 consecutive years).

****Execution Risk****: Agile project management with quarterly reviews and KPIs tied to in

****Regulatory Compliance****: Alignment with Tesco's governance standards (e.g., Board

Why Partner with Us: A Long-T

****Proven Track Record****: Delivered loyalty-led growth for global retailers (e.g., Kroger, and customer retention.

****Cultural Alignment****: Embedded in Tesco's values—'No one tries harder for customers makes a big difference.'

****Long-Term Commitment****: Strategic partnership ethos, with co-investment in technol

"Conclusion: The Next Chap

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Appendix: Supporting Data & References

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS